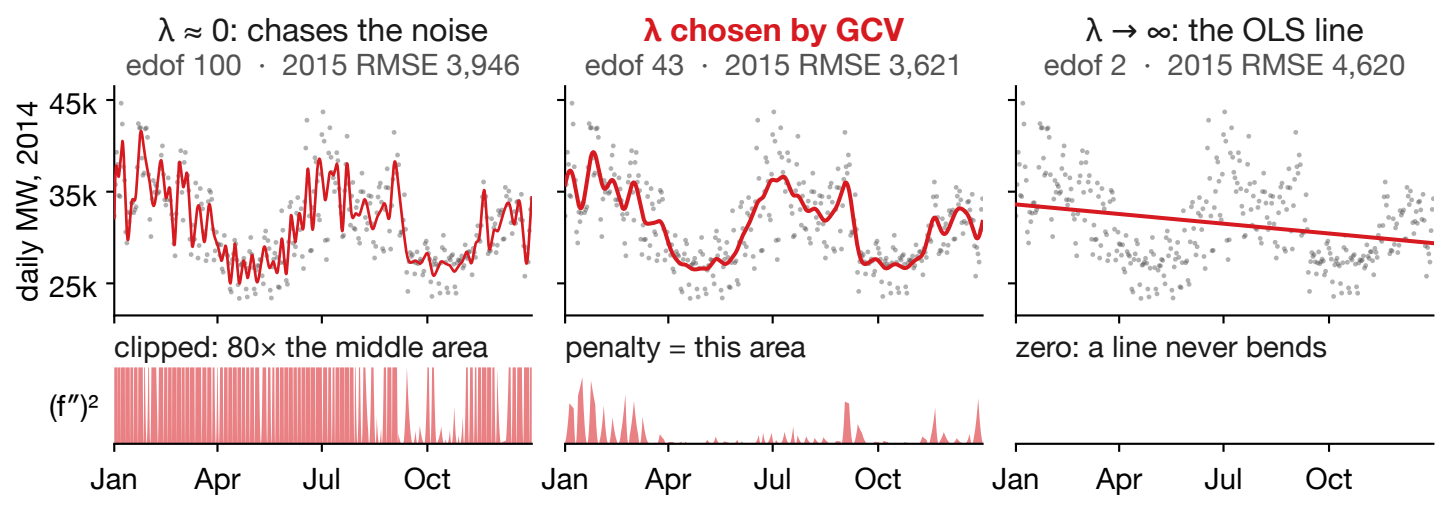

λ ≈ 0: chases the noise
edof 100 · 2015 RMSE 3,946
λ chosen by GCV
edof 43 · 2015 RMSE 3,621
λ → ∞: the OLS line
edof 2 · 2015 RMSE 4,620
daily MW, 2014
45k
35k
25k
clipped: 80× the middle area
penalty = this area
zero: a line never bends
(f″)²
Jan
Apr
Jul
Oct